

Credent Asset Management Services Private Limited

Risk Management Policy

Credent Asset Management Services Pvt. Ltd.

Mumbai office: 306, B2, Shubham Centre, Cardinal Gracious Road, Chakala, Andheri (East), Airport (Mumbai),
Maharashtra, India, 400099

CIN: U65923MH2014PTC258173

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DISCLAIMER

In providing a set of principles through which Credent Asset Management Services Private Limited ('Portfolio Manager' or 'Company'), acting as Portfolio Manager intends to manage any existing and potential risks, we intend that this document should be for guidance only. Accordingly, this document ('Policy') is being provided (to the extent permitted by law) without liability. The Policy is not intended to create third party rights or duties. The risks outlined herein and in the Fund Documents, Disclosure Document are not exhaustive and do not purport to be a complete enumeration or explanation of the risks involved in an investment in the Fund.

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INTRODUCTION

Credent Asset Management Services Private Limited (“Credent”) registered with Securities and Exchange Board of India (“SEBI”) bearing registration No INP000006101 as a Portfolio Manager. Credent owes fiduciary obligation to its investors to act diligently, fairly and by exercising care. The SEBI (Portfolio Management Services) Regulations, 2020 (“PMS Regulations”) require Credent to establish standards of conduct that are fair towards its investors. One such standard is establishing a system to identify and mitigate actual and perceived risks.

Objective

The objective of this Policy is to establish a comprehensive risk management framework to:

- Safeguard client assets
- Identify and manage material risks
- Ensure compliance with regulatory requirements
- Promote disciplined investment decision-making
- Maintain operational resilience

Risk Governance Framework

The Board of Directors / Designated Partners shall have overall responsibility for risk oversight. The Investment Committee and Compliance Officer shall monitor risks on an ongoing basis. Periodic risk reports shall be placed before senior management for review.

The risk management function shall operate independently from the investment function to ensure objectivity.

Key Risk Categories and Management Approach

A. Market Risk

Market risk arises from fluctuations in prices of securities due to changes in economic conditions, interest rates, currency rates, political events, or market sentiment. The Portfolio Manager manages market risk through diversification, asset allocation limits, adherence to client-specific mandates, and continuous monitoring of market movements. Exposure limits are defined based on client risk appetite and investment strategy.

B. Liquidity Risk

Liquidity risk refers to the inability to sell securities without significantly affecting their market price. The Portfolio Manager manages liquidity risk by investing in securities with adequate market depth, monitoring portfolio liquidity profiles, and aligning investments with client redemption or liquidity requirements. Concentration in illiquid securities is monitored and

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restricted as per internal thresholds.

C. Credit Risk

Credit risk arises from the possibility of default by issuers of debt instruments or counterparties. The Portfolio Manager undertakes due diligence before investing in debt securities, evaluates credit ratings, financial strength, and repayment capacity of issuers, and monitors credit developments on an ongoing basis. Exposure limits to a single issuer or group are defined to mitigate concentration risk.

D. Concentration Risk

Concentration risk occurs when excessive exposure is taken to a single security, sector, or issuer. The Portfolio Manager manages this risk by setting internal limits on exposure to individual securities, sectors, and asset classes, consistent with client mandates and regulatory guidelines. Portfolios are reviewed periodically to ensure adequate diversification.

E. Operational Risk

Operational risk arises from failures in internal processes, systems, human error, or external events. The Portfolio Manager mitigates operational risk through documented standard operating procedures, internal controls, maker-checker mechanisms, system access controls, periodic reconciliations, cybersecurity safeguards, and business continuity planning. Regular internal audits and compliance reviews are conducted.

F. Regulatory and Compliance Risk

Regulatory risk refers to the risk of non-compliance with applicable laws and regulations. The Portfolio Manager ensures adherence to applicable regulatory provisions through continuous monitoring by the Compliance Officer, regular compliance testing, employee training programs, and timely regulatory reporting.

G. Counterparty Risk

Counterparty risk arises from the failure of brokers, custodians, or other intermediaries to fulfill their obligations. The Portfolio Manager conducts due diligence before empaneling intermediaries and deals only with reputed and authorized entities. Exposure to counterparties is monitored on a periodic basis.

H. Model and Strategy Risk

Model risk arises when investment models or assumptions fail to perform as expected. Strategy risk arises if the chosen investment approach does not align with prevailing market conditions. The Portfolio Manager periodically reviews investment strategies, validates assumptions, and reassesses portfolio positioning to ensure alignment with market dynamics and client objectives.

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Risk Monitoring and Reporting

Risk exposures are monitored on a periodic basis through internal systems and reports. Any material deviation from prescribed limits shall be escalated to senior management and corrective action shall be initiated promptly. Risk metrics such as portfolio concentration, volatility, drawdowns, and credit exposure are reviewed periodically.

Business Continuity Plan (BCP)

The Portfolio Manager maintains a documented Business Continuity Plan to ensure continuity of operations during unforeseen events such as system failures, natural disasters, or other disruptions. Periodic testing of the BCP is conducted to ensure operational readiness.

Review of Policy

This Risk Management Policy shall be reviewed at least annually or earlier if required due to regulatory changes, business expansion, or changes in market conditions. Any modifications shall be approved by the Board.

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